

**Time:** 5 minutes**Outcome:** Analyze minimum wages, unions, job search, and efficiency wages.**Difficulty:** ●●○ Intermediate

Labor-Market Institutions



THE CORE IDEA

Labor-market institutions change wages, hiring, search incentives, and the balance between labor supplied and labor demanded. Surplus = $120 - 90 = 30$ workers. Efficiency wages can improve effort and reduce turnover. A binding minimum wage can create a surplus of labor, meaning more workers want jobs than firms want to hire. Unemployment insurance can support job seekers, but may also reduce urgency to accept a job quickly.



HOW TO RECOGNIZE IT

- A binding minimum wage can create a surplus of labor, meaning more workers want jobs than firms want to hire.
- Unemployment insurance can support job seekers, but may also reduce urgency to accept a job quickly.
- A firm raises wages above equilibrium and worker effort rises enough to improve productivity, but fewer workers are hired at the higher wage.
- Unemployment insurance can reduce the cost of continued job search, which may lengthen unemployment spells.
- Union wage bargaining can raise wages above equilibrium and reduce the quantity of labor demanded.



WATCH OUT

Do not forget that a binding wage floor creates a surplus when labor supplied exceeds labor demanded. A binding minimum wage can create a surplus of labor, meaning more workers want jobs than firms want to hire.



WORKED EXAMPLE: BINDING MINIMUM WAGE

At a minimum wage, 120 workers want jobs and firms hire 90. Surplus = $120 - 90 = 30$ workers. Therefore, 30 workers. Faster matching reduces frictional unemployment; because frictional unemployment is part of the natural rate, the natural rate can fall.



CHECK YOURSELF

Why can more generous unemployment insurance lengthen some unemployment spells even while protecting workers?

**READY?**

Return to the game and master this concept.